

Analysis

“The elements of fraud that will give rise to a tort action for deceit are: “ ‘(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or ‘scienter’); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.’ ” *Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 974. “Fraud is an intentional tort; it is the element of fraudulent intent, or intent to deceive, that distinguishes it from actionable negligent misrepresentation and from nonactionable innocent misrepresentation. It is the element of intent which makes fraud actionable, irrespective of any contractual or fiduciary duty one party might owe to the other.” *City of Atascadero v. Merrill Lynch, Pierce, Fenner & Smith* (1998) 68 Cal.App.4th 445, 482. “[F]raudulent intent is an issue for the trier of fact to decide.” *Beckwith v. Dahl* (2012) 205 Cal.App.4th 1039, 1061.

At bar, Defendants, among other things, argue, “Plaintiffs have zero evidence that Mr. Fraiman falsely represented that the Project would not require permits...[a]side from Ms. Palleschi’s post hoc assertions in deposition...” Mot., 8:8-20. They further argue that Plaintiffs have no evidence that any alleged misrepresentation induced Michelle Palleschi’s execution of the contract, or that she justifiably relied on it. Mot., 10:22-11:11. The Court is not persuaded.

First, Defendants’ motion *itself* acknowledges that Ms. Palleschi offered deposition testimony that Mr. Fraiman falsely represented that the Project would not require permits. In light of this, Defendants have not met their threshold burden of showing that this element cannot be established. Assuming, *arguendo*, Defendants met their burden, Plaintiffs have shown that a triable issue of fact exists with respect to this representation. In short, Plaintiffs have offered evidence that Fraiman represented to Michelle Palleschi that: permits would not be required, he knew at signing he was not going to pull a permit, he knew a permit was legally required, and he knew there would be no final inspection absent a permit. See Opp’n, 8:27-9:24 and citations therein.

Second, Michelle Palleschi’s verified allegations establish that she specifically asked Fraiman about permitting before signing, that he answered falsely, and that she signed the contract at issue in reliance on that answer. See Opposition, 18:5-13 and citations therein.

The Court need not address the remaining five arguments in favor of summary adjudication raised by Defendants. Given the disposition noted above as to the alleged permit misrepresentation, Defendants are not entitled to summary adjudication as a matter of law as to the misrepresentation cause of action.

2. CU0002033 Ingrid W. Speck, et al. vs. Justfly Corp., et al.

One of the parties apparently reserved this date for the filing of a motion; none was filed. This matter is removed from calendar.

3. CU0002312

Raymond Davey v. Close Associates et al

The Court grants the motion of Defendants Close Associates and Craig Close to set aside Plaintiff's March 16, 2026, Amended Request for Entry of Default and Default retroactively entered on January 8, 2026.

The default was improvidently and incorrectly entered by the clerk. Firstly, a "[p]laintiff must file an affidavit with the court stating that a copy of the application for entry of default has been mailed to defendant or his attorney." *Ely v. Gray* (1990) 224 Cal.App.3d 1257, 1260, *citing* Code Civ. Proc. § 587. Code of Civil Procedure section 587 states:

An application by a plaintiff for entry of default under subdivision (a), (b), or (c) of Section 585 or Section 586 shall include an affidavit stating that a copy of the application has been mailed to the defendant's attorney of record or, if none, to the defendant at his or her last known address and the date on which the copy was mailed. If no such address of the defendant is known to the plaintiff or plaintiff's attorney, the affidavit shall state that fact.

No default under subdivision (a), (b), or (c) of Section 585 or Section 586 shall be entered, unless the affidavit is filed. The nonreceipt of the notice shall not invalidate or constitute ground for setting aside any judgment.

(Italics supplied).

Here, Plaintiff did not submit an affidavit which, as required, indicated the date on which a copy of the application had been mailed to defendant at his last known address. *See* 3/16/26 Amended Request for Default.

Secondly, Plaintiff failed to properly date his requests for entry of default as required. *See* Code Civ. Proc § 2015.5.

Thirdly, on March 16, 2026, the clerk had no lawful authority to enter a default as requested because Defendant had already filed a declaration pursuant to Code of Civil Procedure section 430.41 on March 3, 2026. *See* Code Civ. Proc. § 430.41(a)(2) ("The 30-day ["automatic"] extension shall commence from the date the responsive pleading was previously due, and the demurring party shall not be subject to default during the period of the extension."). Whether or not the automatic extension was legally applicable under the circumstances of this case, the clerk had no authority to disregard the declaration; only the Court had authority to pass judgment as to its validity.

Lastly, the clerk had no lawful authority to retroactively enter the default requested on March 16, 2026 as of January 2026. *See Jonson v. Weinstein* (1967) 249 Cal.App.2d 954, 959 ("the actual date of [physical] default entry governs.").

In short, the clerk erred in entering the default. Accordingly, it is set aside as to both Defendants. *See* Code Civil Proc. § 473(d).